

NorthStar Financial Services

Financial Compliance Policy Manual

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This document establishes the compliance policies and procedures for NorthStar Financial Services in accordance with applicable federal and state regulations, including the Bank Secrecy Act (BSA), the USA PATRIOT Act, OFAC sanctions requirements, and applicable FinCEN guidance. All employees, contractors, and third-party agents of NorthStar are required to comply with the policies set forth herein.

Section 1: Purpose and Scope

1.1 Purpose

This policy manual establishes NorthStar Financial Services' framework for detecting, preventing, and reporting financial crimes including money laundering, terrorist financing, fraud, and sanctions violations. It defines the thresholds, procedures, and responsibilities that govern our Anti-Money Laundering (AML) and compliance program.

1.2 Scope

This policy applies to:

- (a) All deposit accounts, including checking, savings, and money market accounts;
- (b) All wire transfer and ACH transactions regardless of amount;
- (c) All cash transactions at any NorthStar branch or ATM;
- (d) All international transfers and foreign exchange transactions;
- (e) All business and personal lending products.

1.3 Regulatory Framework

NorthStar's compliance program is governed by the following primary regulations:

- Bank Secrecy Act (BSA), 31 U.S.C. 5311 et seq.
- USA PATRIOT Act, Title III
- FinCEN regulations, 31 C.F.R. Chapter X
- OFAC Sanctions Programs and Country Lists
- Financial Crimes Enforcement Network (FinCEN) guidance on Suspicious Activity Reporting

Section 2: Currency Transaction Reporting (CTR)

2.1 CTR Filing Requirement

Pursuant to 31 C.F.R. 1010.311, NorthStar Financial Services is required to file a Currency Transaction Report (FinCEN Form 112) for each transaction in currency of more than \$10,000. This requirement applies to:

- (a) A single cash transaction exceeding \$10,000;
- (b) Multiple cash transactions by or on behalf of the same person in a single business day that in the aggregate exceed \$10,000 (aggregation rule).

Policy Clause 2.1.1: Any cash deposit, withdrawal, exchange of currency, or other payment or transfer involving currency of more than \$10,000 must be reported via CTR within 15 calendar days of the transaction date.

2.2 Aggregation Rule

NorthStar employees must aggregate multiple cash transactions conducted by or on behalf of the same individual during a single business day. If the aggregate amount exceeds \$10,000, a CTR must be filed even if no single transaction individually exceeds the threshold.

Policy Clause 2.2.1: Transactions structured to avoid the \$10,000 CTR threshold — including breaking a single large transaction into multiple smaller transactions — constitutes structuring and is a federal crime under 31 U.S.C. 5324, regardless of whether the underlying funds are from a legitimate source.

2.3 CTR Exemptions

The following entities may qualify for CTR exemptions under Phase I and Phase II of the BSA exemption program:

- Banks and other depository institutions
- Government agencies or departments
- Listed public companies and their subsidiaries
- Established retail businesses with documented cash-intensive operations

Exemptions must be reviewed and re-approved annually. Exempt customers must be documented in the NorthStar Exemption Registry maintained by the BSA Officer.

2.4 CTR Filing Deadlines and Penalties

CTRs must be filed electronically via the BSA E-Filing System within 15 calendar days following the date of the reportable transaction. Failure to file a required CTR may result in civil penalties of up to \$25,000 per violation and criminal prosecution for willful violations.

Section 3: Suspicious Activity Reporting (SAR)

3.1 SAR Filing Obligation

NorthStar Financial Services must file a Suspicious Activity Report (FinCEN Form 111) when it knows, suspects, or has reason to suspect that a transaction involves funds derived from illegal activity, or is designed to evade reporting requirements.

Policy Clause 3.1.1: A SAR must be filed for transactions of \$5,000 or more where NorthStar knows, suspects, or has reason to suspect the transaction involves funds from illegal activity, is designed to evade BSA requirements, lacks a lawful purpose, or involves use of NorthStar to facilitate criminal activity.

3.2 Indicators of Suspicious Activity

The following non-exhaustive list of indicators may trigger a SAR review:

3.2.1 Structuring Indicators

- Customer makes multiple cash deposits just below \$10,000 within a short timeframe
- Customer requests information about reporting thresholds
- Transactions that appear deliberately structured to avoid CTR filing
- Multiple individuals making cash deposits into the same account on the same day

3.2.2 High-Risk Customer Behavior

- Transactions inconsistent with the customer's known business or income profile
- Rapid movement of large funds with no apparent business purpose
- Customer reluctance to provide identification or explain the purpose of a transaction
- Sudden large increases in account activity without explanation

3.2.3 Wire Transfer Indicators

- Wire transfers to or from high-risk jurisdictions without clear business purpose
- Frequent wire transfers in round dollar amounts
- Wire activity inconsistent with customer's stated business operations

3.3 SAR Filing Deadlines

SARs must be filed within 30 calendar days of the date of initial detection of facts that may constitute a basis for filing. If no suspect is identified at the time of detection, NorthStar has up to 60 calendar days to file. NorthStar may extend its investigation by an additional 30 days with documented justification.

3.4 SAR Confidentiality

The existence of a SAR filing is strictly confidential. NorthStar employees are prohibited from notifying any person named in a SAR, or any other party, that a SAR has been filed or is being considered. Violation of SAR confidentiality may result in civil and criminal penalties.

Section 4: Know Your Customer (KYC) and Customer Due Diligence (CDD)

4.1 Customer Identification Program (CIP)

Pursuant to 31 C.F.R. 1020.220, NorthStar must verify the identity of each customer who opens a new account. Minimum identification requirements are as follows:

4.1.1 Individual Customers

- Full legal name
- Date of birth
- Residential street address (no P.O. Box for primary address)
- Taxpayer Identification Number (TIN) or Social Security Number (SSN)
- Government-issued photo identification (driver's license, passport, or equivalent)

4.1.2 Business Customers

- Legal business name and any DBA names
- Business address (registered and operating)
- Employer Identification Number (EIN)
- Articles of Incorporation or equivalent formation documents
- Beneficial Ownership information for all individuals owning 25% or more of the entity

4.2 Customer Risk Rating

All NorthStar customers must be assigned a risk rating at onboarding and reviewed on a periodic basis. Risk ratings are assigned as Low, Medium, or High based on the following factors:

Policy Clause 4.2.1: High-risk designations are triggered by any of the following: customer operates in a high-risk industry (money services, cannabis, gambling, cryptocurrency), customer is located in or transacts with a FATF high-risk jurisdiction, customer is a Politically Exposed Person (PEP), or customer has a prior SAR filing history.

4.3 Enhanced Due Diligence (EDD)

Customers assigned a High risk rating require Enhanced Due Diligence (EDD), which includes:

- Senior management approval for account opening
- Documented source of funds and source of wealth
- Quarterly transaction monitoring review (vs. annual for Low/Medium)
- Annual face-to-face or documented verification refresh

Policy Clause 4.3.1: Any transaction of \$5,000 or more initiated by a High-risk rated customer must be automatically flagged for compliance review prior to processing. Transactions involving High-risk customers and jurisdictions on the OFAC Specially Designated Nationals (SDN) list must be blocked and reported immediately.

Section 5: OFAC Sanctions Compliance

5.1 Sanctions Screening Requirement

NorthStar Financial Services is required to comply with all sanctions programs administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC). No transaction may be processed that involves a Specially Designated National (SDN), a blocked person or entity, or a comprehensively sanctioned country or territory.

5.2 Sanctioned Countries and Territories

As of the effective date of this policy, the following countries and territories are subject to comprehensive OFAC sanctions programs. Transactions involving these jurisdictions are strictly prohibited unless specifically licensed by OFAC:

Comprehensively Sanctioned Jurisdictions:

- Cuba
- Iran
- North Korea (Democratic People's Republic of Korea)
- Russia (certain sectors under Executive Orders 13662, 14024)
- Syria
- Belarus (certain sectors)
- Venezuela (certain sectors)
- Myanmar (Burma)
- Zimbabwe (certain entities)

Policy Clause 5.2.1: Any wire transfer, ACH payment, letter of credit, or other financial transaction destined to or originating from a comprehensively sanctioned jurisdiction must be immediately blocked. The transaction must not be processed under any circumstances without a valid OFAC license. Compliance must be notified within 1 business day of detection.

5.3 Screening Procedures

All customers, beneficial owners, and counterparties must be screened against the OFAC SDN list and applicable consolidated sanctions lists at the following intervals:

- At onboarding (prior to account opening)
- At the time of any wire transfer or international payment

- Within 24 hours of any OFAC list update
- Annually as part of the customer refresh cycle

5.4 Handling a Sanctions Match

Upon identification of a potential OFAC match:

1. The transaction must be immediately blocked or rejected.
2. The BSA/Compliance Officer must be notified within 1 business day.
3. A report must be filed with OFAC within 10 business days if the match is confirmed.
4. The blocked funds must be placed in a separate blocked assets account.
5. NorthStar must not disclose to the customer that a sanctions match has occurred.

Section 6: Fraud Detection and Transaction Monitoring Thresholds

6.1 Automated Transaction Monitoring

NorthStar's Transaction Monitoring System (TMS) applies rule-based and behavioral analytics to detect potentially fraudulent or suspicious transactions. The following thresholds trigger automatic alerts for compliance review:

6.2 Alert Thresholds

6.2.1 Cash Transaction Alerts

- Single cash transaction: Alert at \$9,000 or above (proximity to CTR threshold)
- Aggregate daily cash transactions: Alert when daily total exceeds \$9,500
- Repeated sub-threshold cash transactions: Alert triggered after 3 or more transactions between \$3,000 and \$9,999 within a 7-day rolling window

6.2.2 Wire Transfer Alerts

- Outbound international wire: Alert for any single wire exceeding \$25,000
- Outbound wire to high-risk jurisdiction: Alert for any wire regardless of amount
- Rapid in-and-out wire activity: Alert when inbound wire is followed by outbound wire within 48 hours for 80% or more of the inbound amount

6.2.3 Account Behavior Alerts

- Account velocity alert: Transaction volume increases more than 300% vs. prior 90-day average
- Dormant account alert: Account with no activity for 12+ months initiates transaction over \$1,000
- New account alert: Account opened within 30 days initiates wire transfer over \$5,000

Policy Clause 6.2.1: Transaction monitoring alerts must be reviewed by a certified AML analyst within 5 business days of generation. Alerts that cannot be resolved with a documented business explanation must be escalated to the BSA Officer for SAR consideration.

6.3 High-Risk Customer Transaction Limits

Customers classified as High-risk under Section 4.2 are subject to the following additional controls:

Policy Clause 6.3.1: High-risk customers are subject to a default daily transaction limit of \$50,000 across all channels (cash, wire, ACH). Any transaction that would cause a High-risk customer to exceed this limit requires prior written approval from the BSA Officer or designee.

Exceptions to High-risk transaction limits may be granted for documented business purposes with:

- Written request from the relationship manager
- BSA Officer approval in writing
- Supporting documentation (invoice, contract, or equivalent)
- Transaction monitoring flag applied for 90 days following the exception

Section 7: Recordkeeping Requirements

7.1 General Recordkeeping

NorthStar must retain records sufficient to reconstruct any transaction and identify the parties involved. Minimum retention periods are as follows:

- CTR filings: 5 years from the date of filing
- SAR filings and supporting documentation: 5 years from the date of filing
- Customer identification records (CIP): 5 years after account closure
- Wire transfer records: 5 years from the date of the transfer
- OFAC screening records: 5 years from the date of screening
- Transaction monitoring alerts and disposition: 5 years from alert generation

7.2 Wire Transfer Recordkeeping

For all wire transfers of \$3,000 or more, NorthStar must collect and retain:

- Name and account number of the originator
- Originator's address or date of birth
- Amount and execution date of the wire
- Name of the beneficiary institution
- Name and account number of the beneficiary

Section 8: Roles and Responsibilities

8.1 BSA/AML Compliance Officer

NorthStar's designated BSA/AML Compliance Officer is responsible for:

- Day-to-day oversight of the AML compliance program
- Review and approval of SAR filings
- Management of OFAC compliance procedures
- Annual BSA/AML risk assessment
- Staff training program oversight

8.2 Branch and Operations Staff

All NorthStar employees who handle customer transactions are required to:

- Complete annual BSA/AML training
- Identify and report suspicious activity to the compliance team
- Collect required identification for CTR-reportable transactions
- Never tip off a customer that a SAR has been filed or is under consideration

8.3 Senior Management and Board

NorthStar's Board of Directors is responsible for approving the BSA/AML Policy annually. Senior management is responsible for ensuring adequate resources are allocated to the compliance function and that compliance findings are escalated appropriately.

Section 9: Policy Violations and Consequences

9.1 Internal Violations

Employees who fail to comply with this policy may be subject to disciplinary action up to and including termination of employment. Violations include but are not limited to:

- Failure to file a required CTR or SAR
- Tipping off a customer about a SAR or OFAC investigation
- Processing a transaction involving a sanctioned party or jurisdiction
- Failure to collect required KYC documentation

9.2 Regulatory Penalties

Non-compliance with BSA/AML requirements may result in:

- Civil money penalties up to \$1,000,000 per violation
- Criminal prosecution for willful violations
- Regulatory enforcement actions including Consent Orders or Cease and Desist orders
- Reputational damage and loss of banking license

Section 10: Glossary of Key Terms

AML: Anti-Money Laundering — a set of laws, regulations, and procedures intended to prevent criminals from disguising illegally obtained funds as legitimate income.

BSA: Bank Secrecy Act — U.S. federal law requiring financial institutions to assist government agencies in detecting and preventing money laundering.

CTR: Currency Transaction Report — a report filed with FinCEN for cash transactions exceeding \$10,000.

EDD: Enhanced Due Diligence — additional scrutiny applied to high-risk customers beyond standard CDD requirements.

FinCEN: Financial Crimes Enforcement Network — a bureau of the U.S. Department of the Treasury that collects and analyzes financial transaction data.

KYC: Know Your Customer — the process of verifying the identity of clients and assessing their suitability and risk.

OFAC: Office of Foreign Assets Control — administers and enforces economic and trade sanctions based on U.S. foreign policy and national security goals.

PEP: Politically Exposed Person — an individual who holds or has held a prominent public position, considered higher risk for money laundering.

SAR: Suspicious Activity Report — a report filed with FinCEN when a financial institution detects suspicious or potentially illegal activity.

SDN: Specially Designated National — individuals and entities on OFAC's sanctions list with whom U.S. persons are generally prohibited from transacting.

Structuring: The practice of breaking up financial transactions to avoid triggering CTR reporting requirements; a federal crime under 31 U.S.C. 5324.

TMS: Transaction Monitoring System — automated software used to monitor customer transactions for suspicious patterns.

Document Control: This policy is reviewed annually by the BSA/AML Compliance Officer and approved by the Board of Directors. Questions regarding this policy should be directed to compliance@northstarfinancial.com.

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